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12 December 2025

Whitfield Carter LLP

FAO Mr Tom Gallagher

By email

Our ref: OJ/CUW/221 Your ref: TG/BWA/0159

Dear Sirs

Response to Letter before Action — Caldervale Underwriting Limited and Brightwater Analytics Limited

We act for Caldervale Underwriting Limited ("our client"). We have your Letter before Action dated 14 November 2025 and respond in accordance with the Practice Direction on Pre-Action Conduct. The claim is denied in its entirety.

1. Our client does not dispute the existence or the principal financial terms of the Polaris Agreement, nor that the Year 1 licence fee and Milestone 1 were paid. Beyond that, your client's account is not accepted.

2. Acceptance on 11 September 2024 went to the implementation deliverables only. It did not, and could not, waive our client's right to rely on subsequent failures of the Platform to meet the availability Service Level in clause 11 and Schedule 4.

3. From early 2025 the Platform repeatedly failed to meet the contractual 99.5% availability level. Measured availability was 98.1% in March 2025, 97.4% in June 2025 (including an outage of approximately nine hours on 14 June 2025) and 98.6% in September 2025. Our client raised these failures with your client on 18 March, 16 June and 30 September 2025.

4. Those failures were persistent and material. Our client was entitled to, and did, terminate the Agreement by its letter of 17 October 2025. The termination was lawful and your client's purported "acceptance of repudiation" is misconceived.

5. It follows that no sum is due. Milestone 2 was, and is, properly withheld, and there is no entitlement to damages for the balance of the term. Had any sum been due (which is denied) our client would set off the cost of procuring replacement analytics services, being not less than £160,000.

6. Your client's reliance on "the Schedule 4 methodology" is noted but not accepted; the maintenance-window and network exclusions on which your client appears to rely do not bear the weight placed on them.

7. Our client invites your client to discontinue. If proceedings are issued they will be vigorously defended and this letter will be relied upon as to costs.

Yours faithfully

Birchall Stone LLP